

off holding on to it and saving that money in a money fund for a down payment.

- **If you don't have a steady income, keep renting.** It's difficult to get a loan without a regular paycheck. And, of course, it can also be tough to make your mortgage payments. Don't put yourself through the angst of trying to buy if you're not ready.
- **Don't assume you always get a tax break for buying.** Most of us have at least one relative who prattles on about how buying a home is the best tax break around. It's true that the federal government allows homeowners to subtract the interest they pay on their mortgages from their taxable income, and that can make a big difference at tax time. Say you paid \$10,000 in mortgage interest in a year and had an income of \$50,000. You would be able to subtract, or deduct, the \$10,000 worth of interest and bring your taxable income down to \$40,000. Assuming your tax rate is 25%, that would translate into a savings of \$2,500. If you're buying a low-priced home, however, the tax break may be worth very little. That's because all taxpayers (whether they own a home or not) get a tax break known as the **standard deduction**, the amount they can automatically subtract from their taxable income. For 2009, the standard deduction was \$5,700 for single taxpayers and \$11,400 for married taxpayers filing jointly. In general, to reap a tax advantage from buying, the annual interest you pay on your mortgage (plus other deductions you get) must be greater than the standard deduction. If you're buying a low-priced home, this may not be the case. If you don't qualify for a tax break, there's less incentive to buy. (For details on other tax breaks that homeowners can receive, see Chapter 9.)

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